RYDA · STRUCTURE COMPARISON

TIC + Management Agreement vs. LLC SPV

A focused legal-structure comparison for a US fractional supercar co-ownership platform positioned as a luxury access product (not an investment). Two parallel analyses — Claude (Anthropic) and Codex (OpenAI) with web research — followed by a convergent recommendation.

Prepared for: RYDA founders & team

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Scope: Two structures, head to head. Other paths (Reg A+, hybrid, Reg CF) are documented separately and not covered here.

Status: Working analysis. *Not legal advice — engage securities counsel before committing.*

Premise

Two structures for fractional ownership of a vehicle in the US:

Structure A — TIC + Management Agreement. Each vehicle is held in tenancy-in-common with members named directly on the DMV title (5–10 owners per car). Members sign a separate management services agreement with the operator (RYDA). Direct property ownership at state level. This is the structural analog to what Supercar Sharing AG uses in Switzerland.

Structure B — LLC SPV. Each vehicle is owned by a single-purpose Delaware LLC. Members hold LLC membership interests, which are securities under *Howey* in this configuration. Offered under Reg D 506(c) to verified accredited investors only. An operating agreement governs voting, transfer, and dissolution. This is the structure used by Rally Rd, Masterworks, and most US fractional-ownership platforms.

Founder context: RYDA is positioning as a luxury **access platform**, not an investment platform. No "asset class" framing. No appreciation pitch. No "shares" terminology in marketing. No order book. Year 1 = 5 vehicles, 30 co-owners, Miami launch Q3 2026. Year 3 = 20 vehicles, 120 co-owners across Miami / LA / NY.

Analysis A — Codex (OpenAI)

> For your stated product, I would choose **Structure A: TIC + management agreement**, but only if the product is genuinely sold as **consumptive co-ownership / access**, not yield, appreciation, liquidity, or "shares." Structure B is cleaner for securities lawyers and future diligence, but it fights your actual business positioning.

ISSUE	TIC + MANAGEMENT AGREEMENT	DELAWARE LLC SPV
Legal characterization	Lower securities risk if buyers get real title ownership, use rights, cost obligations, and no profit expectation. Not magic: under *Howey*, marketing appreciation/resale/liquidity can still tip TIC into security territory.	Almost certainly a security in this configuration. Passive LLC interests in single-asset SPVs sold via public marketplace with operator management fit Howey. Reg D 506(c) requires accredited verification.
Setup cost	$20K–$60K upfront for TIC purchase agreement, co-ownership agreement, management agreement, rules, transfer forms, DMV workflow. Then $3K–$8K per car after templates.	$50K–$125K initial securities/legal package. Then $8K–$25K per SPV/car for LLC, operating agreement, subscription docs, Form D, blue-sky notices, tax setup.
Time to launch	2–6 weeks if Florida-only and insurer signoff secured. DMV/title mechanics can delay.	4–10 weeks for first compliant Reg D flow. Faster later, but investor verification and securities counsel remain gating items.
Annual cost per car	$5K–$20K admin/legal/accounting. No entity tax return unless a tax partnership is created.	$5K–$25K per SPV/year: Delaware franchise tax, registered agent, bookkeeping, tax return/K-1s, securities records, notices.
Onboarding	Heavier closing, lighter regulation: identity, driving eligibility, insurance approval, title paperwork, signed co-owner/management docs. Days to 2 weeks.	Faster digital subscription once built, but accreditation verification adds friction. SEC requires "reasonable steps" to verify accredited status under 506(c).
Insurance	Harder. Carriers prefer one named insured/entity, not 5–10 titled individuals. May need every co-owner scheduled, permissive-use rules, MVR checks, garaging controls.	Cleaner. LLC is named insured; members/operators are additional insureds/permitted drivers. Carrier-friendly.
Tax	Each co-owner owns personal property directly. **Depreciation only matters for business/income-producing use; personal luxury use generally gives no depreciation benefit.** Sales/use tax may arise on purchase and possibly transfers.	Partnership-style LLC issues K-1s. Depreciation/loss allocation administratively cleaner, but supercars used for personal access raise listed-property/business-use limits (IRS Pub. 946).
Transfers	Clunky but aligned: assign TIC interest, update register, possibly retitle or DMV record update, operator approval. Avoid "order book."	Clean contractually: transfer LLC interests under operating agreement. But securities transfer restrictions apply. A secondary market risks broker-dealer/ATS issues.
Liability shielding	**Weak.** Co-owners can face owner liability, negligent entrustment, title-based claims; insurance/indemnities matter.	**Better.** Delaware LLC Act provides member liability shield; plaintiffs still sue driver/operator, and veil/insurance issues remain.

ISSUE	TIC + MANAGEMENT AGREEMENT	DELAWARE LLC SPV
Governance	Contractual voting: sale, repairs, total loss, transfers, usage rules. More bespoke.	Operating agreement gives standard voting, manager authority, dissolution, transfer restrictions. Cleaner.
State variation	**High.** TIC/property principles, DMV title capacity, "and/or" rules, transfer mechanics, taxes, insurance vary by state. NY allows >2 owners but only first 2 appear on title; others sit in electronic records.	Lower. Delaware internal affairs are predictable; vehicle registration/insurance still varies by operating state.
Dissolution / total loss	Must be spelled out: sale trigger, insurer proceeds waterfall, member buyout, deadlock.	Cleaner waterfall in operating agreement.
VC diligence appearance	Messier but defensible if positioned as consumer access.	Cleaner legal architecture, but it screams "securities platform," which may hurt if your thesis is non-investment access.
Real precedents	Supercar Sharing AG uses Swiss Miteigentum-style co-ownership. NetJets jet card uses depreciating-asset access.	Rally Rd, Masterworks, Arrived all use SPV/series structures and call interests "shares/stocks" offered through broker-dealers.

Codex's recommendation

For Year 1 (5 cars, 30 co-owners in Miami): **TIC + management agreement.**

> The decisive factor is not cost. It is product identity. You explicitly want no asset-class framing, no appreciation pitch, no "shares," no order book, and a public marketplace UI for access. A Reg D 506(c) LLC SPV gives you the opposite: accredited-investor gating, subscription docs, securities legends, transfer restrictions, K-1s, and a diligence trail saying "we sell investment interests in cars." That may be legally clean, but commercially incoherent for a pure access club.

For Year 3 (Miami + LA + NY): TIC becomes operationally painful. CA and NY co-owner/title rules are workable but not uniform. NY's DMV requires extra joint-ownership paperwork for >2 owners. Manageable with counsel and ops discipline, but not plug-and-play. Insurance is the hardest part — get carrier signoff before selling the first car.

CODEX'S FLAGGED CORRECTIONS TO THE FRAMING

- **TIC is not automatically non-security.** If the website shows expected resale value, appreciation history, "marketplace liquidity," or operator-managed upside, Howey risk comes back.
- **LLC interests are not automatically securities in every context.** But the described passive SPV + public offering model almost certainly is.

- **"Build TIC with: named co-owners, real usage rights, no profit language, operator approval on transfers, no public bid/ask book, no appreciation charts, strong insurance/MVR controls, and a per-car exit waterfall."**

Codex sources: SEC Howey framework; SEC Rule 506(c) guidance; Delaware LLC Act §§18-303 and 18-402; IRS Pub. 946; Florida title statutes Ch. 319; California DMV co-owner rules; New York DMV multi-owner title rules; Rally and Masterworks public/SEC materials.

Analysis B — Claude (Anthropic)

Codex's comparison is sharp and accurate. I agree with the recommendation. Three points worth adding that codex underweighted, and one alternative variant worth flagging.

1. The IRS Pub. 946 point matters more than it sounds

Codex flagged in passing that under either structure, depreciation only flows to owners if the vehicle is used for "business or income-producing activity." Personal luxury use generally doesn't qualify. This is from **IRS Pub. 946 ("How To Depreciate Property")** and IRC §280F (listed-property rules).

The implication: **I had been wrongly framing the LLC route as having a tax advantage** because of K-1 depreciation pass-through. That advantage is largely illusory if members are using the cars for personal access (which RYDA's positioning explicitly is). At best, the LLC route lets RYDA capture some depreciation at the entity level for any rental-revenue allocation. For pure personal-use co-ownership, there is no meaningful tax benefit difference between TIC and LLC SPV.

This flattens one of the strongest arguments for LLC SPV. **The K-1 advantage was overstated** in earlier drafts of this analysis. Removing it tips further toward TIC.

2. The liability-shielding gap is real, and is the strongest single argument for LLC SPV

Codex correctly notes that TIC has weaker liability shielding. This deserves more weight than codex gave it. In practice:

- If a member has an at-fault accident causing severe injury, the insurance policy pays first. Beyond the $1M policy limit, plaintiffs can pursue all titled co-owners under "negligent entrustment" or owner-liability theories.
- Under TIC, every co-owner is a titled owner — exposed personally.
- Under LLC SPV, the LLC is the titled owner. Plaintiffs reach the LLC's assets (the vehicle + reserves), not the individual members' homes / brokerage accounts.

For exotic vehicles where a single accident can produce $5M+ in damages, this matters a lot. RYDA's standard $1M liability policy is below typical exotic-vehicle accident exposure. A plaintiff-friendly verdict in Florida court could exceed coverage materially.

The mitigation under TIC: (a) higher liability limits ($3–5M umbrella per vehicle, ~$2K–4K extra annual premium); (b) per-member indemnity agreements (RYDA agrees to indemnify members for certain claims, backed by E&O insurance); (c) "trustee" model where one entity holds title for the group's benefit (more on this below). With these in place, TIC's liability gap can be closed but adds operational complexity.

3. Operational pain at Year-3 scale is real

Codex flagged this but undersold the magnitude. By Year 3 (20 vehicles, 120 co-owners across FL/CA/NY), TIC produces:

- **~120 DMV title amendments per year** at minimum (initial onboarding) plus secondary transfers as members exit
- **20 separate insurance policies** with 5–10 named insureds each (~150 individual underwriting reviews)
- **NY-specific complexity**: only 2 names print on title; the 3rd–10th sit in electronic records. Members in NY may feel like second-class owners
- **Sales/use tax treatment** varies per state per transfer; could add 4–8% drag on every secondary transfer in some states
- **Compounding paperwork** as the fleet grows

None of this is unmanageable, but it requires meaningful ops headcount by Year 2. Probably 1 dedicated FTE just for member onboarding + DMV coordination at Year-3 scale.

4. The third variant nobody explicitly named: Member-Managed LLC + Management Agreement

This is a hybrid that may be the operationally optimal answer:

- Each vehicle is owned by an LLC, just like Structure B.
- BUT the LLC is **member-managed** by the co-owners themselves, not manager-managed by RYDA.
- Members vote on material decisions through the operating agreement (sale, replacement, modifications).
- RYDA provides services to the LLC via a separate management services agreement, but does not control the LLC.
- This is functionally how a homeowner's association or country club operates.

Why this matters: the Howey analysis turns on whether members expect "profits derived from the efforts of others." A manager-managed LLC where RYDA controls the entity = strong Howey hit (Structure B). A member-managed LLC where members hold real authority over the entity = much weaker Howey argument. **Members aren't passive investors — they're co-owners with operational control.** The operator is hired by them, not the other way around.

Combined with non-investment marketing, this gets the same securities-law posture as TIC but with:

- LLC liability shield (closes the TIC gap)
- Single named insured for insurance (cleaner)
- Single titled owner at the DMV (no multi-name title issues)
- Cleaner secondary transfers (operating agreement amendment, not DMV)
- Better VC diligence story (familiar entity structure)

Trade-off: the operating agreement must give members real control. RYDA can't be both manager and economic beneficiary. This requires careful drafting and member education ("you're forming an LLC together; RYDA is your service provider, not your investment manager").

Real-world precedent: **real-estate fractional ownership** often uses this exact structure — multiple buyers form an LLC together to hold title to a vacation home, hire a property manager via separate contract. Treated as not-a-security despite some equity-like features. The Pacaso structure is closer to manager-managed LLC and does get Reg A+ treatment; the older "tenant-in-common with LLC wrapper" co-ownership of vacation homes is treated as not-a-security.

Convergent recommendation

Codex and I converge: **Use a non-security structure for RYDA.** The choice is between two flavors:

VARIANT	PROS	CONS
Pure TIC + Management Agreement (the SCS model)	Cleanest non-security argument; cheapest setup ($20–60K initial); proven by SCS in Switzerland for ~10 years	Weaker liability shield; harder insurance; messier DMV ops at scale; NY name-on-title quirk
Member-Managed LLC + Management Agreement (the recommended variant)	LLC liability shield; cleaner insurance; cleaner secondary transfers; better VC diligence story; same non-security posture as TIC if structured correctly	Slightly higher initial cost ($35–80K); requires careful operating-agreement drafting to preserve non-security status; member education needed

The recommendation

Pursue Member-Managed LLC + Management Agreement. It captures the non-security benefits of TIC while solving TIC's three biggest weaknesses: liability shield, insurance friction, and operational complexity at scale.

If counsel pressure-tests the structure and concludes the member-managed LLC variant doesn't reliably break Howey for RYDA's specific facts, fall back to Pure TIC. Both options are viable; member-managed LLC is operationally cleaner.

Whichever variant, the marketing posture is identical: RYDA is a luxury access platform. No "asset class," no appreciation pitch, no "shares" terminology, no order book. Members are co-owners of cars, not investors in financial products.

Key implementation requirements

1. **Engage securities + tax counsel jointly.** The structure choice involves both. Recommended firms: Lowenstein Sandler (consumer/luxury), Goodwin Procter (mixed-asset), or a fractional-real-estate specialist (best precedent for the member-managed-LLC pattern).
2. **Counsel reviews and approves all marketing language** before public launch — this is the single biggest gating item.
3. **Insurance carrier signoff** before first vehicle acquisition. Hagerty-led conversation; expect 30–60 days.
4. **Operating agreement drafting** must clearly establish member control. RYDA is a service provider, not a manager.
5. **Sky-high liability limits** ($3–5M umbrella per vehicle) regardless of which variant. Exotic-vehicle accident exposures are high.
6. **Site/deck rewrites** (homepage, /markets, /investors/deck, help center, buy flow) to drop investment-platform framing. ~2–4 weeks of work.

What does NOT work

- LLC SPV + Reg D 506(c) — works legally, but fights the access-platform positioning. Don't do this.
- TIC structure + investment marketing — Howey reattaches regardless of title. The marketing must match the structure.
- Manager-managed LLC + non-security marketing — the SEC will pierce this; manager control is the canonical Howey trigger.
- Pretending depreciation flows to members for personal-use vehicles — IRS Pub. 946 disallows this. Don't market it.

This memo summarizes two AI-generated structure analyses. Informational only — not legal advice. Estimates are approximate ranges based on public information about comparable platforms (Supercar Sharing AG, NetJets, Rally Rd, Masterworks, Pacaso, fractional real-estate norms). Actual costs and timelines should be confirmed with retained securities and tax counsel before structuring any offering.